

Coal India Ltd

Investment Rating : Excellent

Company Overview

Website	http://www.coalindia.in/
Sector	nan
Market Cap	454,024.84 Cr
PE Ratio	34.27
PB Ratio	14.75
Dividend Yield	4.38 %

Financial Quality

ROE	52.0
ROCE	63.6
CFO Quality	High Quality
FCF CAGR	5.86%
Capital Pattern	Excellent

Capital Allocation

Capital Score	100.0
Reinvestment	Low Reinvestment
Debt Trend	Increasing Debt
Leverage	Low

Business Overview

Coal India Ltd is mainly engaged in mining and production of Coal and also operates Coal washeries. The major consumers of the company are power and steel sectors. Consumers from other sectors include cement, fertilizers, brick kilns etc.

Strengths

Consistently high return on equity above 20% demonstrates exceptional capital efficiency.
Strong free cash flow generation over 5 years signals healthy business fundamentals.
Operating profit margin above 25% indicates strong pricing power and cost discipline.
Very high interest coverage ratio reflects negligible financial stress from debt servicing.
Consistent dividend yield above 2% backed by positive free cash flow.

Risks

Operating margins declining for 3 consecutive years suggest pricing or cost pressure.
Rising debt over the past 3 years suggests increasing financial leverage risk.